policy tool in the armoury of the RBI, but are constrained by the stock of government securities available with it at a point in time.

3. Liquidity Adjustment Facility (LAF)

The LAF is the key element in the monetary policy operating framework of the RBI (introduced in June 2000). On daily basis, the RBI stands ready to lend to or borrow money from the banking system, as per the latter's requirement, at fixed interest rates. The ***primary aim*** of such an operation is to assist banks to adjust to their day-to-day mismatches in liquidity, via *repo* and *reverse repo* operations.

Under the repo or repurchase option, banks borrow money from the RBI via the sale of securities with an agreement to purchase the securities back at a fixed rate at a future date. The rate charged by the RBI to aid this process of liquidity injection is termed as the repo rate. Under the reverse repo operation, the RBI borrows money from the banks, draining liquidity out from the system. The rate at which the RBI borrows money is the reverse repo rate. The interest rate on the LAF is fixed by the RBI from time to time (with crucial changes introduced recently in the operating procedure of Monetary Policy detailed in the next paragraph). LAF operations help the RBI effectively transmit ***interest rate signals*** to the market.

Recent Changes in Monetary Policy

Effective 3 May 2011, based on the recommendations of the *Working Group on Operating Procedure of Monetary Policy,* the operating framework of monetary policy has been refined with the following changes:

(i) The repo rate has been made the only independently varying policy rate.

(ii) A new marginal standing facility (MSF) has been instituted, under which SCBs have been allowed to borrow overnight at their discretion, up to 1 per cent of their respective NDTL, at 100 bps above the repo rate. The revised MSF reverse repo corridor has been defined with a fixed width of 200 bps with the repo rate placed in the middle of the corridor.